

ZEPTO CAFE

Competitive Analysis — How Do Rivals Drive Repeat Ordering?

Step 1 Supporting Deliverable · July 2026

Scope of this Analysis

Competitors studied: Swiggy (Food + Instamart), Zomato (Food Delivery), Blinkit (Quick Commerce), Starbucks India (Best-in-class habit formation)

Focus: Repeat ordering mechanics, loyalty programs, push notification strategy, reorder UX, personalization, and gamification.

Filter applied throughout: What is relevant at a ₹80–₹150 snack ticket size? High-ticket mechanics (e.g. ₹500+ restaurant loyalty) may not translate directly.

Constraint alignment: All analysis is filtered through Zepto Cafe's constraints — no discounts-only strategy, must live inside existing app experience.

1. Competitive Landscape Overview

The Indian food and quick-commerce market is broadly split into two categories. Zepto Cafe sits at the intersection of both — and this creates both opportunity and confusion for users.

 Swiggy / Zomato	 Blinkit / Zepto	 Starbucks App	 Zepto Cafe
Restaurant food delivery	Grocery & snack q-commerce	Café loyalty benchmark	Hot food via dark store
₹300–₹600 AOV	₹200–₹700 AOV	₹400–₹600 AOV	₹80–₹150 AOV

Why Ticket Size Matters for This Analysis

At ₹80–₹150 per snack order, Zepto Cafe's unit economics and user psychology are fundamentally different from a ₹400 restaurant order.

Loyalty mechanics built for high-ticket restaurant food (e.g. Swiggy One free delivery on ₹300+ orders) may not translate to a chai-and-samosa moment.

The question to ask for every competitor feature: 'Does this work at ₹100?'

2. Swiggy — Subscription-Led Retention at Scale



Swiggy (Food + Swiggy One + Instamart)

India's #2 food delivery platform · 5.7M Swiggy One subscribers (2025) · Strong push notification engine

2a. Swiggy One — The Subscription Lock-In Model

Swiggy One is the cornerstone of Swiggy's repeat ordering strategy. Rather than one-off discounts, it creates behavioral lock-in through upfront commitment:

- **Unlimited free deliveries** on food and Instamart orders above ₹149 — removes the per-order friction that kills habitual ordering.
- **No surge pricing** for members — consistency builds trust, a core driver of repeat behavior.
- **Exclusive member discounts** at partner restaurants — platform loyalty, not restaurant loyalty.
- **Swiggy One BLCK (2025 launch)**: Invite-only tier for highest-frequency users, paired with HDFC co-branded credit cards (10% cashback). Extends loyalty beyond the app.
- **5.7 million subscribers** by end of 2025 — subscription revenue creates predictable base before delivery revenue.

2b. Push Notification Engine — ML-Powered Personalization

Swiggy runs one of the most sophisticated push notification systems in Indian consumer apps:

- **Multi-Armed Bandit algorithm**: Tests multiple notification variants simultaneously, automatically allocating more sends to better-performing variants in real time.
- **Personalization signals used**: Order history, cuisine preferences, time of day, location, vegetarian/non-veg preference, spice level, past spend.
- **Timing personalization**: A user who orders dinner at 8pm gets notified at 7:45pm — not at 2pm when a generic blast goes out.
- **Win-back notifications**: Users who haven't ordered in X days receive a 'we miss you' push with a callback to their last order.
- **20–40% lift in CTR** reported with personalized callouts (name, last order, best available discount) vs. generic blasts.

2c. Reorder UX

- **One-tap reorder**: Last order and favourite orders surfaced immediately on home screen.
- **Saved addresses**: Work, home, frequent locations stored and auto-selected by time of day.
- **Real-time order tracking**: Reduces anxiety and builds trust for repeat ordering.

2d. Key Limitation: Instamart Abandoning Low-Ticket Users

This is a critical finding for Zepto Cafe strategy:

Swiggy's Instamart is actively de-prioritising low-value snack users

Swiggy Instamart's Average Order Value rose 33% YoY to ₹700 in Q4 FY26 — driven by eliminating low-frequency, low-basket users.

Monthly Transacting Users growth was deliberately slowed by removing users who transact very infrequently.

Translation: Swiggy is NOT fighting for the ₹80 chai order. This is Zepto Cafe's whitespace.

Opportunity: The snack-break user that Swiggy is deprioritising is EXACTLY Zepto Cafe's target.

3. Zomato — Gamification as the Habit Engine



Zomato (Food Delivery + Zomato Gold)

India's #1 food delivery platform · 5M+ Gold subscribers · Streak gamification · Healthy High-Five Challenge

3a. Zomato Gold — Platform Loyalty, Not Restaurant Loyalty

Zomato Gold reframes loyalty: users aren't loyal to one restaurant, they're loyal to the platform that unlocks benefits everywhere.

- **5 million+ subscribers** as of 2025 in Tier 1–2 metros.
- **Benefits include:** free delivery, exclusive discounts, priority customer support, early access to new restaurants.
- **Industry target:** 40–60% of Gold members place a second order within 30 days when properly engaged with notifications and offers.
- **Network effect:** Every new restaurant partner that joins Gold makes the subscription more valuable, deepening lock-in.

3b. Streak Feature — Zomato's Most Relevant Mechanic for Zepto Cafe

Zomato's Streak is the single most directly applicable competitor mechanic to the repeat ordering problem:

Step 1	User places their first order → Zomato detects it and flags them as a streak candidate.
Step 2	After 2nd order: user is shown a visual streak tracker in-app and invited to "keep their streak alive."

Step 3	Progressive rewards unlock: Order 3 = 10% off → Order 5 = 20% off → Order 10 = 40% off → Order 15 = 65% off + free meal.
Step 4	Breaking a streak triggers a loss-aversion nudge: "Don't lose your 7-day streak! Order now." Loss aversion is more powerful than gain framing.

Why Streak Works — Behavioral Science

Commitment & Consistency: Once users start a streak, they feel psychologically committed to continuing (Cialdini's principle).

Loss Aversion: Losing a streak feels 2x worse than gaining an equivalent reward — Zomato exploits this with 'don't break your streak' nudges.

Progressive Rewards: Small early rewards (10% off) hook users; larger later rewards (free meal) create long-term retention.

The Caveat for Zepto Cafe: At ₹100/order, a 65% discount = ₹65 off. Cap rewards at 1/5th of total spend to keep unit economics viable.

3c. Gamification Beyond Streaks

- **Healthy High-Five Challenge (Feb 2026):** Order 4 qualifying healthy meals → earn a free dish. Crossed 15 lakh orders in 2 weeks. Shows gamification can drive volume without pure discounting.
- **Cricket-themed campaigns (Zomato Premier League):** Tied ordering to IPL matches — time-based urgency + social sharing loop.
- **Implication:** Gamification works best when tied to an emotional moment or identity, not just a discount mechanic.

4. Blinkit — Time-of-Day Intelligence & Frictionless Reorder



Blinkit (Zomato's Quick Commerce Arm)

India's #1 q-commerce platform · Direct competitor model to Zepto · AI-driven snack recommendations

4a. Time-of-Day Product Intelligence

Blinkit's most relevant mechanic for snack repeat ordering is contextual timing:

- **Morning homepage:** Breakfast items, eggs, bread, dairy — promoted at 7–10am.
- **Evening homepage (4–7pm):** Snacks, chips, namkeen, beverages — exactly the office snack-break window.
- **Late night (10pm+):** Ice cream, instant noodles, comfort food.
- **Implication for Zepto Cafe:** The app should surface chai + snack combos at 3:30–4:30pm automatically — the highest-intent office snack window.

4b. AI-Driven Recommendations

- **Purchase history:** If you bought samosas last Tuesday at 4pm, Blinkit surfaces samosas on Tuesday at 3:45pm this week.
- **Location intelligence:** Products popular at your specific dark store are ranked higher for you.
- **Combo recommendations:** Snack + beverage pairings recommended as bundles — increases basket size and reduces decision fatigue.

4c. Add Items After Ordering (Dec 2025 Feature)

Blinkit launched a feature allowing users to add items while the order is still being packed:

- **No extra delivery charge** for the additional items.
- **Eliminates second-order friction** — the pain of paying delivery twice to add one item.
- **Implication for Zepto Cafe:** "Add to existing order" could reduce snack order abandonment when users want to add a chai to their samosa order or vice versa.

4d. What Blinkit Does NOT Do (Zepto Cafe Opportunity)

Blinkit's Gap = Zepto Cafe's Opportunity

Blinkit does not serve HOT, freshly prepared food. Their snacks are packaged FMCG (chips, biscuits, namkeen).

Zepto Cafe's differentiation is FRESH preparation — chai that's actually hot, samosas that are freshly fried.

If Zepto Cafe can deliver on freshness (which survey data shows it currently doesn't), it wins a category Blinkit cannot compete in.

Blinkit is NOT building a repeat habit around 'real chai at 4pm' — that's Zepto Cafe's to own.

5. Starbucks India — Best-in-Class Habit Formation



Starbucks India (Tata Starbucks)

Global loyalty benchmark · Coffee Loop pilot in India/SE Asia · 60% revenue from loyalty members globally

Starbucks is not a direct competitor, but it is the gold standard for turning a beverage into a daily habit. The mechanisms are directly applicable to Zepto Cafe's chai/coffee repeat ordering problem.

5a. The Starbucks Habit Loop

Starbucks builds habit through three interlocking mechanisms:

🔔 Cue	⚡ Routine	🎯 Reward
The app remembers your last order and your favourite store. At your usual order time, it shows your 'usual' on the home screen — reducing decision fatigue to zero.	Mobile order + pay before you arrive. No queue. Your name on the cup when you walk in. The ritual is the product, not just the coffee.	Stars earned on every purchase, redeemable for free drinks. The reward is visible, accumulating, and builds anticipation — not a one-time discount.

5b. Coffee Loop — India-Specific Pilot (High Relevance)

Starbucks tested a stamp card model specifically in India and Southeast Asia:

- **Mechanic:** Buy 9 drinks, get the 10th free. Simple, tangible, visible progress.
- **Result:** 15% lift in visit frequency vs. non-participants in the pilot.
- **Why it works at low ticket sizes:** The reward is clearly understood (free drink), the path is short enough to feel achievable, and progress is visible every time you open the app.
- **Relevance to Zepto Cafe:** A 'Buy 9 chais, get 1 free' mechanic within Zepto Cafe would be instantly understandable and create a 10-order habit loop. No complex points system needed.

5c. 2026 Rewards Overhaul — Engagement Over Spend

Starbucks' March 2026 redesign shifted from spend-based to engagement-based rewards:

- **Green → Gold → Reserve tiers** based on visit frequency, not just money spent.
- **Stars for non-purchase actions:** Rating an order, trying a new product, referring a friend — all earn rewards.
- **Implication:** Zepto Cafe can reward engagement (writing a review, rating freshness, adding a favourite item) not just purchases — this reinforces quality feedback loops.
- **60% of Starbucks' global revenue** comes from loyalty members. The ROI on habit-building is proven at scale.

6. Feature Comparison Matrix

How do competitors score on the features most relevant to driving repeat ordering at Zepto Cafe's snack ticket size?

Feature	Swiggy	Zomato	Blinkit	Starbucks	Zepto Cafe
Subscription / loyalty pass	✅ Strong	✅ Strong	⚠️ Partial	✅ Strong	⚠️ Partial
One-tap reorder	✅ Strong	✅ Strong	✅ Strong	✅ Strong	❌ Absent
Personalized push notifications	✅ Strong	✅ Strong	✅ Strong	✅ Strong	❌ Absent
Time-of-day contextual nudges	✅ Strong	⚠️ Partial	✅ Strong	✅ Strong	❌ Absent
Streak / gamification mechanics	❌ Absent	✅ Strong	❌ Absent	✅ Strong	❌ Absent
Stamp card / order milestone	❌ Absent	⚠️ Partial	❌ Absent	✅ Strong	❌ Absent
Favourites & order memory	✅ Strong	✅ Strong	✅ Strong	✅ Strong	❌ Absent
Freshness / quality signalling	⚠️ Partial	⚠️ Partial	❌ Absent	✅ Strong	❌ Absent
Post-order feedback loop	✅ Strong	✅ Strong	⚠️ Partial	✅ Strong	⚠️ Partial
Win-back / lapse notifications	✅ Strong	✅ Strong	⚠️ Partial	✅ Strong	❌ Absent
Low-ticket snack focus	❌ Absent	❌ Absent	⚠️ Partial	⚠️ Partial	✅ Strong

7. Key Lessons for Zepto Cafe

Synthesized from competitor analysis — what should Zepto Cafe adopt, adapt, or avoid?



ADOPT: Streak or Stamp Card Mechanic (from Zomato + Starbucks)

Zomato's streak and Starbucks' Coffee Loop both produce measurable frequency lifts. A 'Buy 9, get 1 free' chai loop or a visual streak after consecutive daily orders is low-cost to build and directly hooks the repeat ordering habit. Works at ₹100 ticket size.



ADOPT: Time-of-Day Contextual Push Notifications (from Swiggy + Blinkit)

Push a personalised nudge at 3:45pm showing the user's 'usual' snack. Swiggy reports 20–40% CTR lift from personalised callouts. This is a high-ROI feature that Zepto Cafe currently does not use for snack-break moments.



ADOPT: One-Tap Reorder + Favourites (from all four competitors)

Every competitor has this. Zepto Cafe does not surface favourites prominently for Cafe orders. For a ₹100 chai order, reducing ordering time from 60 seconds to 10 seconds is the difference between forming a habit and abandoning one.



ADAPT: Subscription Model (from Swiggy One + Zomato Gold)

Zepto Pass exists but is grocery-focused. Extending Zepto Pass to include Cafe-specific benefits (free delivery on Cafe orders above ₹80, exclusive Cafe items) would lock in snack-break users. Important: Zepto Pass is already launched, so this is an extension, not a new build.



ADAPT: Quality Signalling (from Starbucks)

Starbucks bakes freshness into the product promise — 'Made for you' messaging, visible preparation. Zepto Cafe should add in-app freshness signals: 'Made fresh in the last 20 minutes', preparation timestamp, or a 'Freshness Guarantee' badge. This directly addresses the #1 drop-off reason from primary research.



AVOID: High-Ticket Loyalty Mechanics

Swiggy One's free delivery on ₹300+ orders doesn't help a ₹80 snack. Zomato Gold's restaurant benefits don't apply to Cafe. Don't import mechanics built for ₹400+ orders into a ₹100 snack use case — they'll feel hollow.



AVOID: Discount-First Retention (from Swiggy/Zomato early days)

The case study constraint explicitly prohibits relying on discounts. Competitors who built retention purely on discounts created users who only order when there's an offer. Starbucks and Zomato's streak model prove habit-based retention is more durable than discount-based retention.

8. Gap Analysis — What Zepto Cafe is Missing

Based on competitive benchmarking, these are the highest-priority gaps that directly impact the 12% → 25% repeat rate goal:

#	Gap	Best-in-Class Benchmark	Impact on Repeat Rate
1	No habit hook post first order — nothing invites the user back	<i>Zomato Streak activates after order 2</i>	Very High
2	No contextual snack-time notification at 3:30–4:30pm	<i>Blinkit + Swiggy surface snacks at peak craving window</i>	High
3	No one-tap reorder or visible Cafe favourites on home screen	<i>All four competitors have this as standard</i>	High
4	No in-app quality or freshness signalling	<i>Starbucks 'Made for you' freshness promise</i>	High
5	Zepto Pass benefits not extended to Cafe-specific snack ordering	<i>Swiggy One covers both food and Instamart</i>	Medium
6	No win-back notification for lapsed Cafe users	<i>Swiggy sends personalised win-back within 7 days of lapse</i>	Medium

9. Conclusion — The Competitive Opportunity

What this analysis tells us before moving ahead

1. The low-ticket snack repeat ordering space is **UNDERSERVED** by all competitors. Swiggy is abandoning it. Zomato's mechanics are built for restaurant orders. Blinkit sells packaged snacks, not hot food.
2. The habit-building playbook is clear: Streak or stamp card (Zomato/Starbucks) + contextual time-of-day push (Swiggy/Blinkit) + one-tap reorder (all competitors) = the proven combination for repeat ordering.
3. Freshness signalling is a white space. No competitor in the quick-commerce snack space has built a credible in-app freshness promise. This is Zepto Cafe's differentiator if it can deliver on it.
4. The biggest risk from competitors is Zomato/Swiggy extending into Cafe-style hot food. This makes speed of execution critical — build the habit before competitors move.
5. None of the above requires discounts. Every mechanic above is habit-based and engagement-based — directly aligned with the case study constraint.

